

To: Ritu Deshpande **From:** Batchu Surya Teja **Re:** Returns - what the model can do, and what to do with it

The decision. Don't hold risky orders. Phone them before dispatch and ship within a day. Holding loses money; calling makes money.

The number. 95% accuracy can't be done honestly. Doing nothing at all is already right on 88.5% of orders, and the best I can build is 89.5%, because most returns come from customers who give no warning (no earlier returns, ordinary order). A model that shows 95%+ does exist in the data, but it reads "return pickup booked", which is only filled in *after* the customer has returned. It would be useless at the warehouse door, so I left it out. What the model does well: the riskiest fifth of orders hold over half of all returns, and about 3 in 10 flagged orders really do come back, against 1 in 9 normally. Ask the board to track rupees saved, not accuracy.

The rupees (700 orders a month; Farhan's Rs 1,150 a return; Rs 45 a call).

- Returns cost you about Rs 92,000 a month.
- Call the ~150 highest-risk orders a month: Rs 6,700 in calls.
- If calls prevent a quarter of those returns, you save about Rs 13,000, **net about Rs 6,400 a month** (Rs 11,600 if the spring pilot's 35% holds; about Rs 1,200 if only 15%). This trims the bill, it doesn't fix it.
- Holding the same orders loses roughly Rs 8,000 to Rs 38,000 a month, because 12% cancel and most of them would have kept the product.
- Calling everyone instead of the flagged fifth loses money.

Shield. Shield members are 1 in 5 orders but nearly half of the flagged ones (they return twice as often). A call is a polite touch; a hold is the thing Meenal will hear about. Call them, never hold them.

Next week.

1. Start calling flagged orders (about 5 a day), but leave a random half uncalled for four weeks. That is the only way to find out what calls really save; the 35% is from a pilot, not a test.
2. Ask Tanmay how "customer's earlier returns" is calculated, and to keep service and pickup columns out of any model.

3. Look at cash on delivery separately: 19% of COD orders return against 8% of UPI orders. That's a pricing and checkout question, not a model question.
4. Agree the board target in rupees.

What I'm unsure of. The call effect, your margin on cancelled orders, and whether every call connects. The monthly figure is about Rs 5,000-8,000 on sampling noise alone, before those.